

Meanwhile, there had been some remarkable changes in what makes a reputable holding—i.e., an investment instead of a gamble. This was of particular interest to me, since I'd always assumed that common stocks were reputable. I was surprised to find out that the common stocks once had the same crash reputation as the penny stocks or the futures and options of today. In the 1920s, the investing public—then called “the widows and orphans”—was discouraged from buying any stock at all. *Barron's* published a “Widows and Orphans Model Portfolio” made up almost entirely of bonds. “Investing a Deceased Friend's Funds,” a how-to article from the May 1917 issue of *World's Work* magazine, recommended bonds alone.

Stocks that paid dividends were slightly more respectable, but the public was warned to avoid both. In its second issue in May 1921, *Barron's* advised that “General Motors common cannot be considered an investment.” Rarely did you see a responsible person defending a common stock, especially in the company of the bereaved.

Unfortunately, the year that common stocks finally gained enough respectability to be allowed in the average portfolio was 1929. (A few days before the famous debacle, *Barron's* had speculated that “probably 1929 will be the best business year the country has ever experienced,” which raises some doubts about its general reliability, but I've been assured that the staff has turned over several times since then.)

Because of the poor performance of many stocks purchased in 1929, stocks in general quickly lost their newfound good reputation and became unsafe gambles, with 90 percent of the American public continuing to distrust them through the 1930s and the 1940s. Only in the 1950s did common stocks begin a slow climb toward respectability, until today they are again regarded as sober instruments, approved for widows and orphans. Futures and options are today's wild gambles, and I reminded myself not to get involved in those.

As I reviewed all this in the library, I paid special attention to the reports of the Crash. Any serious investor must come to terms with this discouraging event, so as to be better prepared in case it happens again. What a relief to be able to tell you it never really